

EG Daily Brief: China expands rare earths export control leverage

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Daily Brief: China expands rare earths export control leverage

China's rare earths control | Global minerals race | Ian Bremmer on Iran | Trump's tariffs | Russia's economic woes | El Niño impact on Africa | Upcoming conference calls | EG in depth

summary

- * China imposed dual-use export controls, including rare earth elements, on 14 EU entities, seeking to chill additional EU economic security measures as bilateral trade tensions intensify.
- * China is shifting to a more state-coordinated model to direct its mining investment, aiming to maintain the processing chokepoint as its primary strategic lever.
- * Iran is likely to continue to hit back militarily against the US and allies until they gain some level of compromise from the US on the Strait of Hormuz, says Ian Bremmer.
- * The latest US tariffs barely lifts the average effective tariff rate, but a likely overcapacity Section 301 action could push it near 13% amid mounting legal challenges.
- * Regions, countries, and sectors covered in this edition include the US, Brazil, China, the EU, Iran, Russia, the UK, critical minerals, geo-technology, and trade.

the top line

China, EU—Beijing's rare earth warning shot expands use of export control leverage

- * China's Ministry of Commerce (MOFCOM) imposed dual-use export controls, including rare-earth elements, on 14 EU entities; Beijing framed the move as proportional retaliation for the EU's 21st Russia sanctions package, which extended export controls to 51 more entities, including 14 Chinese companies.
- * By targeting Rheinmetall and other firms across magnets, motors, chemicals, optical devices, semiconductors, and advanced materials, Beijing expanded retaliation beyond defense; China seeks to chill additional EU economic security measures as bilateral trade tensions intensify.
- * MOFCOM will likely use licensing approvals and delays to preserve leverage and extract supply-chain information; the EU will probably avoid reversing its listings, accelerate Critical Raw Materials Act and RESourceEU implementation, and favor procurement and market-access tools over export controls.
- * Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Conference call notes: China, the middle powers, and the global minerals race

- * China is shifting to a more state-coordinated model to direct its mining investment, with planned overseas spending rising to at least US\$120 billion over the next five years—roughly double the prior five-year period.
- * Beijing's core strategy is to retain high-end processing capacity at home while investing in upstream assets and surrounding infrastructure abroad, maintaining the processing chokepoint as its primary strategic lever.
- * Emerging producer countries—led by Brazil and Zambia—are developing policy mechanisms to try and maximize their economic opportunities and grow revenues, but will ultimately fall short of demanding full processing transfers in most cases; the winners will be those combining policy, financing, international partnerships, and implementation capacity simultaneously.
- * Read more here . Reach out to discuss: ecr@eurasiagroup.net .

Ian Bremmer on Iran

- * For now, the biggest problem is that the US has less leverage than the Iranians. No matter what actions the United States takes, they are unable to 1) reopen the Strait without further Iranian disruption and 2) protect critical infrastructure in the region (US and Gulf) from Iranian attacks.
- * Both of these things can change over time. The US can help the Gulf states build radar and, together with the Ukrainians, get advanced drones into the countries that can shoot down Shahed drones and, soon, ballistic missiles as well. Given time, the US military can also better defend ships passing through the Strait. Within 6-12 months the US could be in a meaningfully stronger position.
- * That, together with broader hedging away from reliance on the Strait, will undermine the Iranian position...the longer they disrupt it, the less they will be able to benefit from it.
- * Iran knows this, which is a principal reason that they are likely to continue to hit back militarily against the Americans and allies until they gain some level of compromise from the US (or, if they "exit" from the process, from the regional states) over the Strait.
- * For more of Ian's insights on the Iran war, where is the geopolitics of ai heading, and Ukraine, read the EG Update .

US, Trade—Separating signal from noise in Trump's latest tariff rollout

- * The Trump administration set a 10–12.5% Section 301 baseline tariff to replace expired Section 122 tariffs.
- * US President Donald Trump used an untested Section 338 threat of 50% tariffs on Canada to pressure Canadian Prime Minister Mark Carney in US-Mexico-Canada Agreement (USMCA) talks; expect recurring leverage plays.
- * The baseline move barely lifts the average effective tariff rate (AETR) to 11.2%, but a likely overcapacity Section 301 action could push AETR near 12.8% amid mounting legal challenges.

* Read more here . Reach out to discuss: unitedstates@eurasiagroup.net .

Russia—Politicized rate cut shows Kremlin's mounting concerns over war financing

* The Central Bank of Russia (CBR) cut its key rate 25 basis points to 14%, defying expectations and pairing the move with a dovish signal; the timing strengthens perceptions that President Vladimir Putin has increased political influence over monetary policy.

* The cut challenges the CBR's inflation-targeting credibility. The CBR moved during a fuel-price shock while raising its 2026 inflation forecast to 6%–7% and lowering its 2026 gross domestic product growth forecast to 0%–1%.

* The Kremlin will likely treat higher inflation as a tool to ease near-term war financing pressures. Over time, inflation will erode purchasing power, weaken growth, and force budget indexation, leaving Russia with fewer institutional checks on fiscally driven overheating.

* Read more here . Reach out to discuss: europe@eurasiagroup.net .

Africa, El Niño—Countries are generally better prepared for El Niño this year

* Vulnerabilities vary widely across the region, but most African countries enter this El Niño period with stronger harvests, better preparedness, and relatively more resilient power systems than in previous cycles.

* Ethiopia and Mozambique face the greatest risks: Failed harvests would deepen food insecurity in conflict-affected Ethiopia, while drought in Mozambique would cut hydropower exports and complicate flood recovery just as the government seeks a new IMF program.

* Inflationary effects will still test incumbent governments in Kenya, Angola, Zambia, and South Africa ahead of elections, but lower starting inflation and limited fiscal room make broad relief measures less likely.

* Read more here . Reach out to discuss: africa@eurasiagroup.net .

Upcoming conference calls

* 27 July 9:30 AM ET—Europe update. Register here .

* 28 July 10:30 AM ET—Iran war escalation & energy implications. Register here .

* 30 July 9:30 AM ET—Brazil update. Register here .

eg in depth

UK, Geo-technology—Eliminating science and technology department jeopardizes London's third-way tech and AI approach: Prime Minister Andy Burnham's decision to dissolve the Department for Science,

Innovation and Technology (DSIT) risks weakening the UK's leadership position on tech and AI policy, though a new AI Minister Kanishka Narayan will attend cabinet meetings, and a new AI taskforce will operate within a strengthened Number 10. Critics fear the move could signal a retreat from the UK's "third way" between the US and EU policy approaches and deprioritize the UK's innovation agenda. Unlike his immediate predecessors, Burnham risks viewing AI largely through the lens of social and labor concerns, which could weaken the pro-innovation posture that has helped the country become an emerging hub for AI development. Read more here . Reach out to discuss: europe@eurasiagroup.net .

Latin America—Conference call notes: Latin America's resource-rich asset base—energy, mining, agriculture, and clean energy—positions the region well in a fragmented world order and with an improved policy outlook. Trump will continue to prioritize the region, including a stable Venezuela, while relations with Mexico are becoming more strained over security but remain within certain guardrails. Conservative victories in Chile, Peru, and Colombia create moderate policy upside, though Colombia will face greater challenges because of a significant fiscal gap, while incumbents in Argentina and Brazil remain relatively strong and are modest favorites for reelection. Read more here . Reach out to discuss: latinamerica@eurasiagroup.net .

Brazil—Conference call notes: A conversation with Daniela Marques: Marques, economic policy coordinator for Senator Flavio Bolsonaro's campaign, outlined a three-pillar agenda that includes fiscal consolidation, growth-enabling reform, and a popular capitalism program to promote social mobility through digital infrastructure. The campaign's fiscal anchor is a constitutional amendment to reduce the primary deficit immediately, backed by a new fiscal governance council spanning all three branches of government. Marques described Brazil's fiscal crisis as a governance failure across all three branches, arguing that, without structural reform to who controls spending, no finance minister can execute an adjustment. Read more here . Reach out to discuss: brazilresearch@eurasiagroup.net .

Upcoming events:

- * 28 July: Events: Keiko Fujimori to be sworn in as Peru's next president; Data: India industrial production, US wholesale inventories and Conference Board consumer confidence; Central bank decision: Chile.
- * 29 July: Events: Microsoft, Meta, and SK Hynix earnings; Data: Russia unemployment, US retail sales; Central bank decision: US.
- * 30 July: Events: Apple, Amazon, and Samsung earnings; Data: Eurozone GDP, unemployment, and consumer confidence, US GDP, consumer income, and PCE price index; Central bank decisions: UK and Ukraine.
- * 31 July: Events: Chevron, Exxon Mobil earnings; Data: China manufacturing and non-manufacturing PMI, Eurozone CPI, Japan CPI, and US UMich consumer sentiment; Central bank decisions: Colombia and Japan.

The EG Daily Brief is compiled by Jens Larsen, Lucy Eve, Babak Minovi, Pietro Guglielmi, Rahul Bhatia, Marilia Sirio, Joseph Craven, Martina Silva, and Trista Kelley, with help from Marina Tavares, and Astral Betteridge.

closing quip

Why is 'European duck' so afraid of 'Peking duck'? Instead of devising ever more trade barriers, this is the question the EU should seriously confront... The problem lies with 'European duck' itself. High energy costs and fragile supply chains, among other factors, have eroded its competitiveness."—China's Global Times 10 July editorial, on the EU's own high energy costs and fragile supply chains, not Chinese subsidies, being the real threat to Europe.

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Explanation of Political Trajectories (ie, "Trajectories")

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Positive: Political factors in the country are anticipated to have a positive impact on the macro business environment

Neutral: Political factors in the country are anticipated to have a neutral or negligible impact on the macro business environment

Negative: Political factors in the country are anticipated to have a negative impact on the macro business environment

Disclaimers: Trajectories are solely for informational purposes and should not be relied upon as investment advice. Trajectories do not indicate asset price movements, and have no value in forecasting market prices. Trajectories are based on data and analysis we deem to be reliable; they are not guaranteed as to accuracy or completeness. The Trajectories indicate the political outlook in a single country, over time. Trajectories do not address sector-specific or city/regional political risks that are often different than the country-level outlook. Trajectories represent an analyst's net qualitative assessment of a country's political outlook. EG sales, analytic staff and products may provide analysis reflecting different opinions than those expressed by the Trajectories.

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